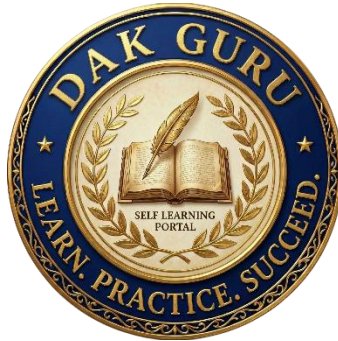




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SERVICE DISCHARGE BENEFIT SCHEME (SDBS)

An NPS-Lite Based Social Security Scheme for Gramin Dak Sevaks

DAK GURU STUDY MATERIAL

Departmental Examinations • LDCE Inspector Posts / PS Group 'B' • GDS Reference
Updated with all relevant orders, amendments & circulars in force up to June 2026

DISCLAIMER

This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and to incorporate the latest changes, amendments, orders and notifications relating to the relevant Acts, Rules and Regulations, this document is intended as a study aid only. The Service Discharge Benefit Scheme is administered on the National Pension System (NPS-Lite) platform and its operational parameters are revised from time to time by the Department of Posts and the PFRDA. Readers and aspirants are strongly advised to verify every provision against the latest official government orders, gazette notifications and primary departmental circulars before relying on it for service or examination purposes.

About This Updated Edition

This edition of the Dak Guru notes on the Service Discharge Benefit Scheme (SDBS) has been rebuilt from primary departmental and regulatory sources and checked, clause by clause, against the position in force as on June 2026. Where the older study text carried provisions that have since changed, the text has been corrected and the change is highlighted in a callout box so that you can see exactly what was revised, by which order, and with effect from which date.

HOW THE LATEST POSITION HAS BEEN VERIFIED

Contribution structure. From 01.07.2018, SDBS is a two-sided contributory scheme: the GDS and the Department each contribute ₹300 per month (₹600 in all), vide DoP O.M. No. 17-31/2016-GDS dated 27.06.2018 (Kamlesh Chandra Committee) — operated on the NPS pattern for departmental employees. The original ₹200 Department-only design was superseded.

Severance / Gratuity effective date. The enhanced Severance Amount (₹4,000/year) and GDS Gratuity (₹1,50,000 ceiling) were back-dated to 01.01.2016 (from 01.07.2018) by DoP O.M. No. 17-31/2016-GDS dated 01.07.2019, with arrears for those discharged between 01.01.2016 and 30.06.2018.

Small-corpus lump-sum threshold. Increased to ₹2,00,000 for SDBS (NPS-Lite) vide DoP Order No. 17-08/2026-GDS dated 30.05.2026, integrating the amended Regulation 5 of the PFRDA (Exits and Withdrawals under NPS) Regulations, 2015 [as amended on 16.12.2025].

Governing engagement rules. Gramin Dak Sevaks (Conduct and Engagement) Rules, 2020 (which replaced the GDS (Conduct and Employment) Rules, 2001).

Reading the callout boxes: an **UPDATE / CURRENT POSITION** box flags something that has changed and states the latest position; an **EXAM POINT** box flags a figure or distinction that is commonly tested (including where an older figure still appears in past papers); a **NOTE** box adds a clarification; and a **VERIFY** box marks a detail that should be confirmed against the current departmental classification before use.

Introduction and Preamble

The Gramin Dak Sevak Committee headed by Shri R. S. Nataraja Murti (Retired Member, Postal Services Board), in its Report of October 2008, recommended — among other things — the introduction of a Service Discharge Benefit Scheme in place of the existing Severance Amount Scheme, on an optional basis, for Gramin Dak Sevaks. The Government examined the recommendation in consultation with the Pension Fund Regulatory and Development Authority (PFRDA) and accepted it.

Accordingly, the Department of Posts introduced the Service Discharge Benefit Scheme (SDBS) for Gramin Dak Sevaks. The scheme is built on the **NPS-Lite Scheme** of the PFRDA — a low-cost variant of the National Pension System designed for workers in the unorganised sector and small subscribers — with modifications to suit the Department and the GDS. SDBS uses the NPS-Lite platform for registration, record-keeping and fund management, in accordance with the rules, regulations and instructions issued from time to time by the PFRDA, SEBI, RBI and the Ministry of Finance.

INTRODUCTION AND EFFECTIVE DATES — GET THE SEQUENCE RIGHT

Original introduction: vide Establishment Division Order No. 6-11/2009-PE.II dated 01.09.2010.

Mandatory for new GDS: for all Gramin Dak Sevaks entering service on or after 01.01.2011 (on completing one year of satisfactory service).

Comprehensive scheme/regulations: notified vide DoP Order No. 6-11/2009-PE.II with effect from 01.04.2011.

Therefore: the scheme is optional for the pre-2011 GDS who chose it, and mandatory for those engaged from 01.01.2011 onwards.

Part I — Introductory

1. The Scheme

- (a) The scheme is called the **“Service Discharge Benefit Scheme”**, hereinafter the **“SDBS”**.
- (b) It came into effect from the 1st day of April, 2011 (with mandatory coverage of new GDS from 01.01.2011, as explained above).

2. Definitions

In these regulations, unless the context otherwise requires:

- **“Accumulations”** — the total amount available in a beneficiary’s Permanent Retirement Account, plus the accrued severance amount (if any) from the date of appointment to the date of enrolment in SDBS, at a given point of time.
- **“Aggregator-cum-Accounts Office” (AO)** — for SDBS purposes, the office of the General Manager (Postal Accounts and Finance) and/or the Director of Accounts (Postal) — the Circle / Postal Accounts Office of the Department of Posts.
- **“GDS Beneficiary / Subscriber”** — a Gramin Dak Sevak enrolled under the scheme.
- **“Annuity / Life Annuity”** — the annuity scheme of a life insurance company approved by the IRDAI, to be purchased mandatorily by the subscriber at the time of exit (subject to the small-corpus exception explained later).
- **“Collection Centre” (CC)** — for SDBS purposes, the office of the Director / Senior Superintendent / Superintendent of Post Offices (the Head of a Postal Division).
- **“CRA”** — the Central Record-keeping Agency appointed by the PFRDA to maintain individual records and data of every subscriber under NPS-Lite / SDBS.
- **“Custodian”** — the agency responsible for holding the assets of the NPS Trust — at present, Stock Holding Corporation of India Limited (SHCIL).
- **“Department”** — the Department of Posts, New Delhi.
- **“Director General (Posts)”** — the Director General, Department of Posts, who is also the Chairperson of the Postal Services Board and ex-officio Secretary to the Government of India.
- **“Facilitation Centre”** — a Facilitation Centre of the CRA, functioning anywhere in the country.

- **“Gramin Dak Sevak (GDS)”** — a Gramin Dak Sevak engaged on a regular basis under the Gramin Dak Sevaks (Conduct and Engagement) Rules, 2020, as amended from time to time.
- **“National Pension System (NPS)”** — the contributory pension system introduced by the Ministry of Finance and regulated by the PFRDA. (Originally styled the “New Pension Scheme”; now officially the National Pension System.)
- **“NPS-Lite”** — the low-cost variant of the NPS launched by the PFRDA for small subscribers and workers in the unorganised sector, on whose platform SDBS operates.
- **“NPS Trust”** — the National Pension System Trust, established by the PFRDA, which administers the NPS.
- **“Oversight Office” (OO)** — for SDBS purposes, the office of the Director General, Department of Posts (the Postal Directorate).
- **“PFRDA”** — the Pension Fund Regulatory and Development Authority of India.
- **“Pension Fund Manager (PFM)”** — the company / agency appointed by the PFRDA to manage funds under the various pension fund schemes, including SDBS.
- **“PRA”** — the Permanent Retirement Account opened by the CRA for each GDS subscriber under SDBS.
- **“PRAN”** — the Permanent Retirement Account Number allotted by the CRA to each GDS subscriber under SDBS.
- **“Savings Bank Account”** — the Post Office Savings Account opened by the GDS for SDBS purposes (kept live throughout service and thereafter for credit of annuity / exit amounts).
- **“Severance Amount”** — the amount payable to a GDS at the end of engagement under the Severance Amount Scheme, subject to the prescribed terms (this is the scheme SDBS replaced, on an optional basis).
- **“Trustee Bank”** — the bank designated by the NPS Trust / PFRDA for receiving and holding SDBS funds and maintaining the related accounts.

Residual definitions: words or abbreviations not defined here carry the meaning assigned to them under the NPS-Lite Scheme, unless the scheme provides otherwise.

CENTRAL RECORD-KEEPING AGENCY — CURRENT NAME

The CRA for the NPS-Lite / SDBS platform is **Protean eGov Technologies Limited** (formerly NSDL e-Governance Infrastructure Limited). The DoP order dated 30.05.2026 expressly refers

to “CRA Protean.” Older study material naming “NSDL” or “National Securities Depository Limited” as the CRA is referring to the same entity under its earlier name.

3. Eligibility to Join

(a) Existing Gramin Dak Sevaks

- **(i)** All existing regularly engaged GDS selected through due process under the GDS (Conduct and Engagement) Rules, 2020, who have rendered at least one year’s satisfactory service, are eligible (subject to (ii)–(v) below).
- **(ii)** Existing GDS due to be discharged within 3 years as on 01.01.2011 are not eligible to join the scheme.
- **(iii) Option.** Existing regularly engaged GDS, as on the date of notification of SDBS, had to exercise an option in the prescribed proforma (Form SDBS-8) either to switch to SDBS or to remain in the Severance Amount Scheme.
- **Note.** A GDS who opted to remain in the Severance Amount Scheme continues under that scheme’s terms, with no linkage to SDBS.
- **(iv)(1)** For a GDS who opted into SDBS, the severance amount accrued up to the date of joining — computed at ₹1,500 for every completed year of service up to enrolment — is added to the accumulated contributions in the PRA at the time of discharge / death, for annuitisation / payment under these regulations.
- **(iv)(2)** For a part-year, the severance amount is computed for completed months proportionately. A fraction of less than 15 days is ignored; 15 days or more is treated as a complete month.
- **(v) GDS in RMS units.** For GDS working in Railway Mail Service units, options are obtained by the Divisional Head (Director / Sr. Supdt. / Supdt. of RMS) and, after authentication, sent in the prescribed proforma to the neighbouring Postal Division to which the unit is tagged, for registration and generation of PRAN.

THE ₹1,500 SEVERANCE FIGURE IS CORRECT — BUT KNOW ITS LIMITED SCOPE

₹1,500 / completed year is the rate used to compute the severance amount that is added to the PRA of a GDS who opted into SDBS in 2011. It is frozen up to that member’s enrolment date and is the correct figure for this purpose.

Do not confuse this with the revised Severance Amount. By DoP O.M. No. 17-31/2016-GDS dated 27.06.2018, the Severance Amount was raised to **₹4,000 for every completed year (maximum ₹1,50,000), with effect from 01.01.2016**. That enhanced rate applies **only** to GDS who chose to **remain in the Severance Amount Scheme** (i.e. did not shift to SDBS) and who

have completed 10 years of continuous service. It does not change the severance accrual of SDBS members.

Same order: the erstwhile “Ex-gratia Gratuity” was renamed “GDS Gratuity” and its ceiling raised from ₹60,000 to ₹1,50,000 (formula and 10-year minimum service unchanged).

Effective date back-dated. DoP O.M. No. 17-31/2016-GDS dated 01.07.2019 modified the effective date of the enhanced Severance Amount and GDS Gratuity to **01.01.2016 (instead of 01.07.2018)**. Arrears of the difference — ₹2,500 per completed year for the Severance Amount (₹4,000 – ₹1,500) and ₹90,000 for the GDS Gratuity (₹1,50,000 – ₹60,000) — were ordered for GDS discharged between 01.01.2016 and 30.06.2018. A clarification dated 22.03.2022 confirmed the ₹4,000 rate applies to the whole period of service from 01.01.2016, not at the old rate for earlier years.

(b) Newly Appointed GDS

- (i) SDBS is mandatorily applicable to all GDS engaged on a regular basis under the GDS (Conduct and Engagement) Rules, 2020 on or after the introduction of the scheme, on completing one year of satisfactory service.
- (ii) Such new entrants have no option and are not entitled to any benefit under the Severance Amount Scheme in any case.
- (c) Provisionally engaged GDS and substitutes engaged for short-term vacancies, leave periods, etc., in the absence of the regular GDS, are not eligible to join SDBS.

4. Subscription / Monthly Contribution

- (a) **Position from 01.07.2018 (current).** SDBS is now a **two-sided contributory scheme**, operated on the National Pension System pattern applicable to departmental employees. For each enrolled GDS for whom the Time Related Continuity Allowance (TRCA) is drawn, the **GDS contributes ₹300 per month (recovered from the TRCA) and the Department contributes a matching ₹300 per month** — a total of **₹600 per month** credited to the GDS's Permanent Retirement Account. Both shares are deposited with the Trustee Bank designated by the PFRDA and invested through the designated Pension Fund Managers.
- (b) **Original position (2011 to 30.06.2018).** Under the scheme as first notified, the contribution was ₹200 per month from the Department's side only, and the GDS was not required to contribute. That non-contributory design was superseded with effect from 01.07.2018 by the revision described above.

- (c) No contribution (from either side) is made for any period during which the GDS is placed on 'put-off duty' or remains unauthorisedly absent — i.e. for any month in which the TRCA is not drawn by the Drawing and Disbursing Officer.

CONTRIBUTION — NOW ₹300 FROM BOTH SIDES (₹600 PER MONTH), W.E.F. 01.07.2018

What changed: the monthly contribution was raised from ₹200 to ₹300 and — crucially — the structure changed from Department-only to **both sides**. The GDS now contributes ₹300 (deducted from the TRCA) and the Department contributes ₹300, so ₹600 a month goes into the PRA. The Government has confirmed in Parliament that the SDBS contribution was “increased from ₹200/- to ₹300/- (for both GDS and Department),” to be operated “like the NPS system for departmental employees.”

Authority: DoP O.M. No. 17-31/2016-GDS dated 27.06.2018 (Kamlesh Chandra One-man Committee on Social Security Benefits for GDS), in consultation with the Ministry of Finance (ID Note No. 3(1)/E-V/2018 dated 05.04.2018), **with effect from 01.07.2018**. The O.M. records the rate as “₹300/- for both sides i.e. Department’s contribution and the GDS.”

Reading the O.M. wording: the phrase “for both sides i.e. Department’s contribution and the GDS” is to be read literally — both parties contribute ₹300; it is not merely the Department’s share. (The Committee had recommended a percentage-based GDS contribution of 3–10% of the basic wage and 3% from the Department; the Department implemented a flat ₹300 from each side instead.)

Effective date not affected by the 01.07.2019 modification: the later O.M. of 01.07.2019 back-dated only the Severance Amount and GDS Gratuity to 01.01.2016. The SDBS contribution remains effective from 01.07.2018.

5. Appointment / Permanent Absorption in a Regular Departmental Post

A GDS enrolled under SDBS who is subsequently permanently absorbed / appointed to a regular departmental post must quit the scheme immediately and seek transfer of the accrued accumulations in the PRA (together with the accrued severance amount earned up to the date of absorption) to a new account under the NPS for Central Government employees, for which the person becomes eligible on regular appointment. The transferred funds are thereafter regulated, invested and managed under the NPS for Central Government employees, as amended from time to time. The application is made in Form SDBS-1.

Note. The same applies where a GDS is appointed to a regular post under the Central Government, or under a State Government / organisation that has implemented the NPS

on the Central Government pattern. In other cases, the provisions relating to resignation (Para 11(d)) apply.

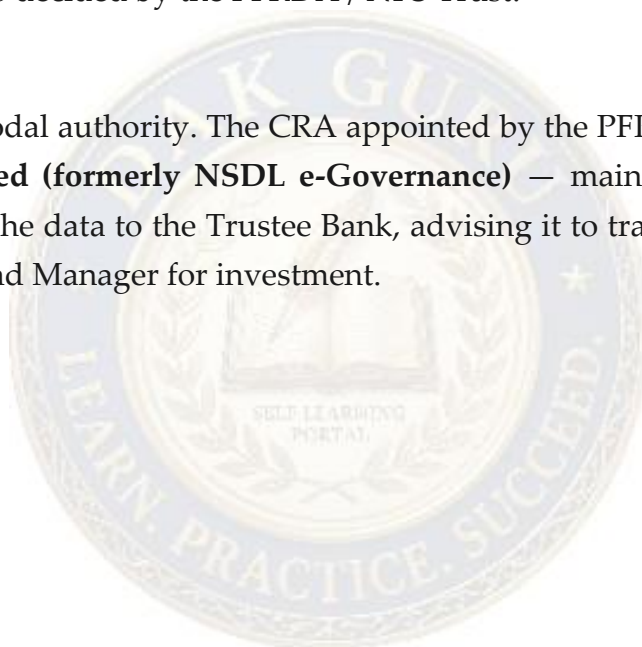
6. Scheme Preferences

GDS beneficiaries have a common scheme preference, and the Pension Fund Managers are chosen by the Department of Posts. The Annuity Service Provider is also selected by the Department in consultation with the PFRDA. Any change in scheme preference or switchover is decided by the Department from time to time.

Note. At present the Department has opted for investment as per the Central Government scheme preference, with investment spread across the designated Pension Fund Managers in the ratio decided by the PFRDA / NPS Trust.

7. Nodal Agency

The PFRDA is the nodal authority. The CRA appointed by the PFRDA — **Protean eGov Technologies Limited (formerly NSDL e-Governance)** — maintains the records and uploads / transmits the data to the Trustee Bank, advising it to transfer the funds to the relevant Pension Fund Manager for investment.



Part II – Operating Procedure

8. Enrolment and Allotment of PRAN

- **(a)** A GDS opting into SDBS submits an application in the prescribed proforma for enrolment. The application — duly attested and verified by the Sub-Divisional Inspector / ASPOs — is sent to the Collection Centre (Divisional Office) concerned. The Collection Centre checks the applications and forwards them to the relevant Facilitation Centre of the CRA for enrolment and issue of a digitised card carrying the Permanent Retirement Account Number (PRAN).
- **(b)** The GDS must also open a Post Office Savings Bank Account, the particulars of which are entered in the application. This account is kept live throughout service and thereafter, for credit of monthly annuity / exit amounts.
- **(c)** On receipt of the verified application, the CRA enrolls the GDS, opens a Permanent Retirement Account, issues the digitised PRAN card, and sends it to the Collection Centre for delivery to the GDS under acknowledgement.
- **(d)** The Collection Centre maintains a permanent register of GDS applying for enrolment (Form SDBS-2), recording name, designation, office, PRAN, etc., and keeps it updated.
- **(e)** The Collection Centre prepares the first list of enrolled GDS (Form SDBS-3) and sends it to the Head Post Office (for GDS in post offices) or Head Record Office (for GDS in RMS units) drawing the TRCA, and to the Aggregator-cum-Accounts Office (AO). Thereafter, supplementary lists of GDS enrolled during a month are sent by the 5th of the following month; a 'NIL' list is sent if there is no enrolment.
- **(f)** The HPO / HRO and AO also maintain the register (Form SDBS-2) and keep it updated with the lists received, retaining the lists in guard files as a permanent record.
- **(g) Duplicate PRAN card.** On loss of the card, the GDS applies to the CRA (through the Collection Centre) on the prescribed form, with proof of loss and the re-issue fee — ₹20 for the first time and ₹30 on subsequent occasions — deposited at any post office as an Unclassified Receipt. The Collection Centre forwards the application to the CRA's Facilitation Centre for issue of the duplicate card.

DUPLICATE PRAN CARD FEE

The scheme prescribes ₹20 (first occasion) and ₹30 (subsequent occasions). PFRDA / CRA card-printing charges are, however, revised by the Authority from time to time; the current charge should be confirmed from the prevailing PFRDA / CRA schedule before quoting a figure.

9. Subscription Process

- **(a)** Each month, the HPO / HRO prepares a subscription list (Form SDBS-4) of the GDS under its accounts jurisdiction for whom the TRCA is drawn and who are eligible to subscribe, and sends it (soft and hard copy) to the AO, with a copy to the Collection Centre, by the 5th of the following month. On CRA authorisation, the AO uploads the soft data into the CRA's system.
- **(b)** The HPO / HRO simultaneously accounts for the monthly contribution — the GDS's ₹300 recovered from the TRCA together with the Department's matching ₹300 (₹600 per GDS in all) — and forwards the supporting bill to the AO along with the monthly Cash Account. The Collection Centre verifies and certifies the list.
- **(c)** The AO verifies the lists against its register, prepares a consolidated list (Form SDBS-5), reconciles it with the bills, accounts for the GDS share and the matching Department share (₹600 per subscriber), and remits the amount with the list to the designated Trustee Bank; a copy of the list goes to the CRA.
- **(d)** On CRA authorisation, the Trustee Bank transfers the funds to the designated Pension Fund Managers for investment as per Government / Department instructions.
- **(e) Errors / objections.** Any error or irregularity noticed by the CC, HPO / HRO or AO is recorded in a Register of Errors / Objections and taken up immediately. The register is reviewed at least monthly by the office head, who ensures no item remains pending beyond a month; anything pending beyond a month is reported to the Head of Circle.
- **(f)** The severance amount accrued to each GDS from initial engagement to the date of enrolment is computed by the HPO / HRO / DDO, verified by the Collection Centre / Head of Unit, and pre-checked by the AO, and noted in Form SDBS-2 under dated initials. This amount is taken into account when arriving at the accumulations (net SDBS accretions plus accrued severance) to be annuitised and released at exit / death.

10. Management and Utilisation of Funds

The funds accumulated under SDBS are administered by the NPS Trust and invested by the Pension Fund Managers as per the Investment Management Agreement between the NPS Trust and the PFMs.

11. Exit from SDBS

- **(a) Normal discharge.** On discharge upon attaining the age of normal discharge, the outgoing GDS must use a minimum of **40% of the accumulations** to purchase a life annuity from an IRDAI-approved life insurance company (the GDS may annuitise more than 40% if desired). The insurer pays a monthly return to the discharged GDS and spouse for life, based on the annuity terms. Application is in Form SDBS-6.
- **(b)** The remaining **60% of the accumulations** is paid to the discharged GDS as a lump sum, to be used at the person's discretion.
- **(c) Premature exit.** A GDS may, after attaining the age of **58 years**, withdraw an amount not exceeding **20% of the accumulations**, leaving the balance 80% to be withdrawn at final exit on completion of GDS service. In that case the entire 80% must be used to purchase a life annuity (as in (a)). The Department makes no further contribution for such a beneficiary from the date of premature withdrawal. Application is in Form SDBS-6.
- **(d) Resignation from service.** Subject to Para 5, where a GDS who joined SDBS resigns before normal exit, the PRA is treated as closed on the date the resignation is accepted. The current regulatory position is that **at least 80% of the accumulations is utilised to purchase an annuity and up to 20% is paid as a lump sum**. Application is in Form SDBS-6.
- **(e)** At exit or premature withdrawal, the beneficiary applies (through the Collection Centre) to the CRA in Form SDBS-6 for settlement of the PRA. The CRA computes the dues, releases the prescribed percentage for purchase of the annuity, and pays the residual amount to the applicant through the Collection Centre, under intimation to the AO.

RESIGNATION %: THE FIGURE HAS EFFECTIVELY MOVED FROM 85/15 TO 80/20 — KNOW BOTH

Original scheme text (2010–2011): on resignation before normal exit, **85% to annuity and 15% as lump sum**. This figure still appears in older notes and in several past question papers, where “85%” is marked correct.

Current regulatory position: SDBS runs on the NPS-Lite platform and exits are governed by the PFRDA (Exits and Withdrawals under NPS) Regulations, 2015. Under those Regulations a voluntary / premature exit before the normal exit age requires **at least 80% annuitisation, with up to 20% as lump sum** — so the operative split is 80/20.

Correct the attribution: the 80% requirement comes from the 2015 Exit Regulations (not from the December 2025 amendment). The December 2025 amendment is relevant for the small-corpus exception below, not for the basic 80/20 split.

Exam strategy: note both numbers. If a question quotes the original SDBS scheme, the expected answer may be 85/15; if it asks for the position under the PFRDA exit regulations / latest rules, the answer is 80/20.

LATEST — SMALL-CORPUS FULL LUMP-SUM WITHDRAWAL UP TO ₹2,00,000

What changed: if the accumulated pension wealth of an SDBS (NPS-Lite) subscriber is **equal to or less than ₹2,00,000**, the subscriber now has the option to withdraw the **entire accumulated pension wealth as a lump sum** — i.e. no compulsory annuity purchase.

Authority: DoP Order No. 17-08/2026-GDS dated 30.05.2026, integrating the amended Regulation 5 of the PFRDA (Exits and Withdrawals under NPS) Regulations, 2015 [as amended by the PFRDA (Exits and Withdrawals under NPS) (Amendment) Regulations, 2025, notified 16.12.2025]. The enhanced limit has been integrated by the CRA (Protean).

Evolution of the threshold: earlier, Para 5(a)(ii) of the PFRDA (Exits and Withdrawals) Regulations, 2015 set this limit at ₹1,00,000 for the NPS-Lite / Swavalamban category — the figure the Department cited in its clarifications dated 08.10.2021 and 22.03.2022. The 2025 amendment raised it to ₹2,00,000, now adopted for SDBS by the 30.05.2026 order. So the progression is ₹1 lakh → ₹2 lakh, and the current figure is ₹2,00,000.

Correction to earlier text: the threshold for SDBS / NPS-Lite is ₹2,00,000 — not ₹5,00,000. The ₹5 lakh / ₹8 lakh / ₹12 lakh figures circulating in general NPS coverage apply to the Government and Non-Government sector categories, not to the NPS-Lite category to which SDBS belongs.

Effect: this exception overrides the 40/60 and 80/20 splits only where the corpus is within ₹2,00,000; above that threshold the normal annuitisation rules continue to apply.

12. Death While in Service

- **(a)** On the death of a GDS in service, the nominee(s) / legal heir(s) may either (i) receive the **entire accumulations in the deceased GDS's PRA up to the date of death, as a lump sum**, or (ii) continue under the scheme. If they continue, the nominee / heir must subscribe personally (after KYC) from their own funds; the

Government bears no responsibility or liability for further contributions or for the eventual exit value.

- **(b)** If continued, the PRA runs until the month in which the deceased GDS would have attained the age of normal discharge (65 years at present), after which **40% of the accumulated balance** is annuitised and **60%** is paid to the nominee / heir — as in the case of a GDS discharged on completion of normal engagement.

DEATH CLAIM — THE NOMINEE MAY TAKE THE FULL LUMP SUM (CORRECTS THE EARLIER NOTE)

The scheme itself gives the nominee / legal heir the option to take the **entire accumulations as a lump sum** on death in service. There is no provision under SDBS mandating 80% annuitisation of a death claim above ₹5 lakh; any such note in the earlier text is incorrect. Under the PFRDA exit framework for the NPS-Lite category, full lump-sum payment to the nominee / legal heir is generally available, so the ₹2,00,000 small-corpus rule does not restrict this — the nominee already has the full-withdrawal option. The exact settlement mechanics should be processed as per the CRA's current death-claim procedure.

13. Dismissal / Removal from Service

- **(a) Dismissal / removal.** Where a GDS is dismissed or removed from service as a result of penal / disciplinary action, the person ceases to be a member of SDBS and forfeits past service from the date of dismissal / removal, with no claim to the accumulations in the SDBS account. The account is closed immediately and the accumulations devolve on the Government / Department of Posts for credit to the Central Government account.
- **(b) Reinstatement.** Where such a GDS is reinstated by an appellate / revisionary authority or by a court order and is completely exonerated, and the period of 'put-off duty' is treated as service, the GDS is deemed to have continued as a member, and the Department contributes the subscription for the period treated as duty at the normal rate.

14. Registration of Offices

- **(a) Collection Centre.** Every Postal Division head enrolls as a Collection Centre by submitting the prescribed registration form to the CRA (through the AO for attestation).
- **(b) Accounts Office.** The Director of Accounts (Postal), designated as AO, registers as an Accounts Office in the prescribed form. This form, together with the Collection

Centre registrations received, is submitted to the Oversight Office (Postal Directorate).

- **(c) Oversight Office.** The Postal Directorate, as Oversight Office, registers itself with the CRA. It consolidates the Collection Centre and Accounts Office registrations and sends them to the CRA.
- **(d)** Heads of Circle and Regional Postmasters General / Directors of Postal Services assist the Directorate in oversight, monitoring, settlement of errors and grievance redressal. The Director of Postal Services (HQ) in each Circle / Region acts as Nodal Officer, coordinating between the Collection Centres, HPOs / HROs, the CRA / its Facilitation Centres, and the Oversight Office.
- **(e)** Heads of Circle issue orders to tag RMS units in their Circle with the adjacent Postal Division for scheme purposes.

15. Payment of Charges

The cost of enrolment / preparation of digitised cards, annual servicing charges, subscriber servicing, grievance handling, and uploading of data / MIS in respect of the PRAs of enrolled GDS is borne by the Department.

15-A. The CRA raises the necessary claim bills annually, in April preceding the year of the claim, and submits them to the AO. The AO, after due verification, makes payment by charging the amount to the relevant head of account and meeting it from the year's sanctioned grants.

16. Inspection of Documents / Records

The accounts, records and documents maintained in the offices of the Department are subject to inspection, check and verification by the officers of the Department, Internal Audit, Statutory Audit, etc., as per the procedures and norms prescribed by the Central Government, the Comptroller and Auditor General of India, and others.

17. Failure to Submit Option

- **(a)** An existing GDS who fails to submit the option by the specified date is deemed to have opted to continue in the Severance Amount Scheme. The option, once exercised, is final and cannot be revised later.
- **(b)** As provided in Para 3(b), GDS appointed on or after 01.01.2011 have no such option and are enrolled under SDBS mandatorily on completing one year of satisfactory service.

18. Enrolment (Processing of Applications)

Applications of GDS who opted into SDBS, duly completed in the prescribed format, are submitted by the Sub-Divisional Heads (IPO / IRM / ASPO / ASRM) to the head of the Postal Division for verification, authentication and certification. The applications received in the Divisional Office are entered in a register and sent to the Facilitation Centre of the CRA for registration, generation of PRAN, and issue of digitised cards to the enrolled GDS.

19. Digitised Account Cards

On receipt of applications from the Collection Centres, the CRA enrolls the applicant GDS, issues digitised cards for each enrolled GDS, and sends them to the Collection Centre (with a list containing the PRAN of each GDS) for delivery to the GDS concerned.

20. Nomination

- (a) GDS subscribers have a nomination facility under SDBS, with provision made in the application form itself.
- (b) A GDS may nominate a person to receive the accumulations, and may change the nomination at any time during the currency of the account, in the prescribed proforma (Form SDBS-7).

21. Grievance Redressal

- (a) A GDS may submit a complaint in writing to any of the authorities (including the CRA), which redresses its part and forwards copies to the competent authorities. Grievances are normally redressed within 7 days of receipt, and in any case must not remain unsettled beyond one month.
- (b) The Collection Centres log into the CRA's Central Grievance Management System (CGMS) daily and take printouts of complaints pertaining to their unit for speedy settlement. The AO follows a similar course.
- (c) Complaints received directly or through Sub-Divisional Inspectors / ASPOs are uploaded daily into the CGMS; written complaints are kept on record and their settlement watched.
- (d) The AO may register grievances of its enrolled GDS through the web interface; alternatively, subscribers may use other channels, and the CRA registers physical complaints as well.

- **(e)** Complaints of the CCs and AOs against the CRA are taken up immediately with the CRA; if not settled within a month, they are reported to the Oversight Office (Postal Directorate), which takes the matter up with the CRA / PFRDA / NPS Trust.



Part III — Accounting Procedure

22. Classification of Transactions

Transactions relating to SDBS are classified under the heads of account prescribed by the Department in consultation with the office of the Controller General of Accounts (CGA). In broad terms:

- **Government contribution** is debited to the postal working-expenses head relating to GDS wages / contribution (Major Head 3201 — Postal Services), under the operative sub-head for the contribution to SDBS.
- **Transfer to the Trustee Bank** is routed through the prescribed deposit / remittance head before transfer of funds.
- **Settlement of claims / exit payments** is accounted under the head through which the fund is operated.
- **Miscellaneous transactions** not covered above are classified under the head decided by the Department in consultation with the CGA / CAG.

HEAD-OF-ACCOUNT CODES — VERIFY THE EXACT CLASSIFICATION BEFORE QUOTING

The broad classification above is reliable, but the precise detailed-head / object-head codes for GDS wages and the SDBS contribution are revised periodically by the office of the Controller General of Accounts. Before reproducing a specific object-head string (for example, in an answer requiring the exact code), confirm it against the current DoP / Postal Accounts classification, as the granular codes could not be independently verified to the latest position here.

23. Banking Arrangements

- **(a)** Banking arrangements for the transfer of funds between the Department and the Trustee Bank are made by the Department in consultation with the Reserve Bank of India and the Trustee Bank appointed by the PFRDA.
- **(b)** The AO maintains a separate bank account for SDBS in the designated branch of the Trustee Bank for remittance of contributions and receipt of funds for settlement of claims.
- **(c)** The balances are reconciled with the books of the AO on a monthly basis.

Part IV — Forms and Schedules

The following forms are prescribed for use under SDBS:

Form	Purpose
SDBS-1	Application on appointment / permanent absorption — for transfer of accumulations to the NPS account.
SDBS-2	Register of applications for enrolment under SDBS (maintained by the Collection Centre / HPO / HRO / AO).
SDBS-3	List of GDS enrolled under SDBS (sent by the Collection Centre to the HPO / HRO / AO).
SDBS-4	Monthly subscription list (prepared by the HPO / HRO).
SDBS-5	Consolidated list of subscriptions (prepared by the AO).
SDBS-6	Application for withdrawal / exit (superannuation / premature exit / resignation / death).
SDBS-7	Nomination / change of nomination.
SDBS-8	Option form for existing GDS (to switch to SDBS or remain in the Severance Amount Scheme).

FORMS — PRACTICAL POSITION

The content and layout of these forms are standardised by the PFRDA / NPS Trust and the Department of Posts, and electronic forms on the CRA platform are increasingly used for processing. The field-lists that follow are indicative of the information captured and should not be treated as the authoritative printed layout.

Indicative field-lists

Form SDBS-1 (application on absorption / appointment): personal details (name, gender, date of birth, father's / husband's name); official details (designation, office, date of engagement, TRCA slab); PRAN and SDBS account particulars; details of the new NPS account to which the corpus is to be transferred; declaration by the GDS; and verification by the appointing authority / Divisional Head.

Form SDBS-6 (withdrawal / exit): reason for withdrawal (superannuation / premature exit / resignation / death); PRAN; accumulation details (total corpus); annuity choice — percentage to be annuitised (minimum 40% on normal exit; 80% on premature exit /

resignation; nil where the corpus is within the ₹2,00,000 small-corpus limit); percentage to be paid as lump sum; chosen Annuity Service Provider; and bank details for the lump-sum payment.

Form SDBS-8 (option form): a declaration by the GDS opting either to join SDBS or to remain in the Severance Amount Scheme, with an undertaking that the option, once exercised, is final.

Clarifications and Miscellaneous

24. Power to Relax

Where the Department of Posts is satisfied that the operation of any provision of these regulations causes undue hardship in a particular case, it may, by order and for reasons recorded in writing, relax the requirement of that provision in a manner not inconsistent with the basic structure of the scheme.

25. Interpretation

If any question arises on the interpretation of these regulations, it is referred to the Director General (Posts), whose decision is final.

26. Savings

Nothing in these regulations affects the right of the Government to modify, amend or repeal the scheme, or any part of it, from time to time.

Key Updates in This Edition — At a Glance

The table below summarises the points where the latest position differs from the older study text, with the source and effective date so that currency can be judged independently.

Item	Position now in force	Source & date
SDBS monthly contribution	₹300 from the GDS + ₹300 from the Department (₹600 total) — both-sides, NPS pattern (was ₹200, Dept-only)	DoP O.M. 17-31/2016-GDS dt. 27.06.2018; w.e.f. 01.07.2018
Severance Amount (Severance Scheme members)	₹4,000 / completed year; ceiling ₹1,50,000; ≥10 yrs service; effective 01.01.2016 (arrears paid)	O.M. 17-31/2016-GDS dt. 27.06.2018 & 01.07.2019 (does not affect SDBS accrual @ ₹1,500)
GDS Gratuity ceiling	₹1,50,000 (renamed from “Ex-gratia Gratuity”); effective 01.01.2016	O.M. dt. 27.06.2018 & 01.07.2019
Small-corpus full lump-sum (no annuity)	Allowed where corpus ≤ ₹2,00,000 (NPS-Lite); was ₹1,00,000 earlier	DoP Order 17-08/2026-GDS dt. 30.05.2026; PFRDA Exit Regs 2015 [amd. 16.12.2025]
Resignation split	80% annuity / 20% lump sum (original scheme: 85/15)	PFRDA (Exits & Withdrawals) Regs, 2015
Death claim	Nominee may take full lump sum, or continue	SDBS scheme; PFRDA Exit framework (NPS-Lite)
CRA	Protean eGov Technologies Ltd. (formerly NSDL e-Gov)	DoP Order dt. 30.05.2026 (“CRA Protean”)
Annuity regulator	IRDAI (Insurance Regulatory & Development Authority of India)	Current statutory nomenclature

Quick-Revision Summary

- **Basis:** NPS-Lite platform of the PFRDA; regulated by the PFRDA; records kept by the CRA (Protean).
- **Effective:** scheme w.e.f. 01.04.2011; mandatory for GDS engaged on / after 01.01.2011; optional for eligible pre-2011 GDS.
- **Eligibility:** regular GDS under the GDS (Conduct and Engagement) Rules, 2020 with ≥ 1 year satisfactory service; provisional / substitute GDS not eligible.
- **Contribution (current):** ₹300 from the GDS (recovered from TRCA) + ₹300 from the Department = ₹600 per month, w.e.f. 01.07.2018, on the NPS pattern. (Originally ₹200, Department-only.) Nothing is contributed for put-off / unauthorised-absence months.
- **Accrued severance for SDBS opt-ins:** @ ₹1,500 per completed year up to enrolment (15 days+ counts as a month).
- **Normal discharge age:** 65 years → minimum 40% annuity, up to 60% lump sum.
- **Premature exit:** after 58 years → withdraw up to 20%; 80% annuitised at final exit; contribution stops.
- **Resignation:** 80% annuity / 20% lump sum (original scheme text: 85/15).
- **Small corpus:** if corpus $\leq$ ₹2,00,000 → 100% lump sum, no annuity (w.e.f. order dt. 30.05.2026).
- **Death in service:** nominee may take full lump sum, or continue (then 40/60 at notional age 65).
- **Dismissal / removal (penal):** forfeiture, no claim; reinstatement with exoneration → deemed continuous, arrears paid by Department.
- **Annuity provider:** IRDAI-approved life insurer; corpus split into annuity + lump sum as above.
- **Grievances:** redress within 7 days; never beyond one month; CRA's CGMS used; escalation to the Oversight Office (Directorate).

Sources and Authorities Consulted

This note has been verified against the following sources (primary departmental / regulatory sources prioritised). Aspirants should always re-confirm against the latest official order before an examination.

- **DoP Order No. 6-11/2009-PE.II** — introduction of SDBS (introduction order dt. 01.09.2010; scheme w.e.f. 01.04.2011).
- **DoP O.M. No. 17-31/2016-GDS dated 27.06.2018** — Kamlesh Chandra One-man Committee on Social Security Benefits for GDS: GDS Gratuity (₹1,50,000), Severance Amount (₹4,000/yr) and SDBS contribution (₹300 from both sides) w.e.f. 01.07.2018; MoF ID Note No. 3(1)/E-V/2018 dated 05.04.2018.
- **DoP O.M. No. 17-31/2016-GDS dated 01.07.2019** — modification back-dating the enhanced Severance Amount and GDS Gratuity to 01.01.2016 (from 01.07.2018), with arrears of the difference for GDS discharged between 01.01.2016 and 30.06.2018.
- **DoP letters No. 17-09/2018-GDS dated 08.10.2021 & 22.03.2022** — clarifications that GDS covered by SDBS are not entitled to the Severance Amount, that the ₹1,500/year accrual is frozen in the PRA, and citing Para 5(a)(ii) of the PFRDA Exit Regulations 2015 (then a ₹1,00,000 full-withdrawal threshold).
- **DoP Order No. 17-08/2026-GDS dated 30.05.2026** — increase in the minimum accumulated-wealth threshold for compulsory annuity under SDBS to ₹2,00,000.
- **PFRDA (Exits and Withdrawals under the NPS) Regulations, 2015** [last amended 16.12.2025] — exit / withdrawal framework, including the NPS-Lite category and the ₹2,00,000 small-corpus provision (amended Regulation 5).
- **Gramin Dak Sevaks (Conduct and Engagement) Rules, 2020** — current rules governing GDS engagement (replacing the 2001 Conduct and Employment Rules).

— End of Booklet —

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